3.1.5 The market mechanism, market failure and government intervention in markets

3.1.5.1 How markets and prices allocate resources

Content	Additional information
• The rationing, incentive and signalling functions of prices in allocating resources and coordinating the decisions of buyers and sellers in a market economy. • The price mechanism is the way in which the basic economic problem is resolved in a market economy.	Students should understand how economic incentives influence what, how and for whom goods and services are produced.

3.1.5.2 The meaning of market failure

Content	Additional information
• Market failure occurs whenever a market leads to a misallocation of resources. • What is meant by a misallocation of resources. • The difference between complete market failure (resulting in a missing market) and partial market failure (where a market exists but contributes to resource misallocation). • How public goods, positive and negative externalities, merit and demerit goods, monopoly and other market imperfections, and inequalities in the distribution of income and wealth can lead to market failure.	Students should be able to provide examples to inform their discussion of each of these causes of market failure.

3.1.5.3 Public goods, private goods and quasi-public goods

Content	Additional information
• Pure public goods are non-rival and non-excludable and recognition of the significance of these characteristics. • The difference between a public good and a private good. • Circumstances when a public good may take on some of the characteristics of a private good and become a quasi-public good. • The significance of technological change, e.g. television broadcasting is now excludable. • The free-rider problem.	

3.1.5.4 Positive and negative externalities in consumption and production

Content	Additional information
• Externalities exist when there is a divergence between private and social costs and benefits. • Why negative externalities are likely to result in over-production and that positive externalities are likely to result in under-production.	Students should be able to illustrate the misallocation of resources resulting from externalities in both production and consumption, using demand and supply diagrams. Students are **not** required to use Marginal Social Cost/ Marginal Social Benefit (MSC/MSB) diagrams.

3.1.5.5 Merit and demerit goods

Content	Additional information
• The classification of merit and demerit goods depends upon a value judgement. • Such products may be subject to positive and negative externalities in consumption. • How under-provision of merit goods and over-provision of demerit goods may also result from imperfect information.	Students should be able to illustrate the misallocation of resources resulting from the consumption of merit and demerit goods using demand and supply diagrams. Students are **not** required to use MSC/MSB diagrams. It should be understood that not all products that result in positive or negative externalities in consumption are either merit or demerit goods.

3.1.5.6 Market imperfections

Content	Additional information
• Why imperfect and asymmetric information can lead to market failure. • Why the existence of monopoly and monopoly power can lead to market failure. • Why the immobility of factors of production can lead to market failure.	

3.1.5.7 An inequitable distribution of income and wealth

Content	Additional information
• In the absence of government intervention, the market mechanism is likely to result in a very unequal and inequitable distribution of income and wealth. • In a market economy, an individual's ability to consume goods and services depends upon their income and wealth and an inequitable distribution of income and wealth is likely to lead to a misallocation of resources and hence market failure.	At AS, students are **not** expected to have an in-depth knowledge of the causes of inequality but they should be aware that progressive taxes and government spending are used to reduce inequality.

3.1.5.8 Government intervention in markets

Content	Additional information
• The existence of market failure, in its various forms, provides an argument for government intervention in markets. • Governments influence the allocation of resources in a variety of ways, including through public expenditure, taxation and regulations. • Governments have a range of objectives and these affect how they intervene in a mixed economy to influence the allocation of resources. • The use of indirect taxation, subsidies, price controls, state provision and regulation to correct market failure.	Students should be able to apply economic models to assess the role of markets and the government in a variety of situations. Students should appreciate the consequences of government intervention in markets for consumers, producers and other economic agents. Students should be able to evaluate the case for and against government intervention in particular markets and to assess the relative merits of different methods of intervention.

3.1.5.9 Government failure

Content	Additional information
• Government failure occurs when government intervention in the economy leads to a misallocation of resources. • Inadequate information, conflicting objectives and administrative costs are possible sources of government failure. • Governments may create, rather than remove, market distortions. • Government intervention can lead to unintended consequences.	Students should appreciate that the possibility of government failure means that, even when there is market failure, government intervention will not necessarily improve economic welfare. Students should understand that consumers and producers may not have access to the same information and that this may contribute to markets operating inefficiently.